

Points of concern

According to a recent report by Ministry of Commerce, import of electronics in the country has increased by 26 per cent to ₹ 267.58 billion in January 2017 and exports have reduced by 10 per cent to ₹ 31.62 billion. The same report also provides comparative figures for the year 2016, mentioning that electronics imports stood at ₹ 212.2 billion in the same month a year ago and exports were at around ₹ 35.26 billion.

Industry members attribute the surge in imports to low value addition in electronics manufacturing, quick surge in demand for point-of-sale (POS) machines and related products. While commenting on the above figures, industry members opine that value addition in goods manufactured in India is low and even manufacturing is not at the scale required to meet local demand. Demand for products like mobile phones and telecom equipment has been rising but most of the parts used in these are imported, which is a reason for the rise in imports.

Even in high demand-generating segments like mobile phones, manufacturing is just in track to meet committed numbers, but local value addition is very low.

The recent push for digital transactions has led to demand in POS machines and related devices like fingerprint readers and biometrics scanners where there is duty arbitrage between domestic production and imports. The industry feels that, to capitalise on such a huge demand, a large number of imports of POS machines may have added to the import figures.

Moving forward

The industry feels that the government has to implement measures to encourage domestic manufacturing and boost exports in the electronics sector. We have received consolidated policy recommendations from

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Electronics Industry Association (ELCINA) for the same. They believe that this is the right time to revamp National Policy of Electronics (NPE) 2012. Some of the suggestions are addressed in Union Budget 2017-18. Some key suggestions that are yet to be addressed are collated below.

Recommendations on EMC scheme. EMC scheme was formulated to provide a supportive and efficient infrastructure for electronics manufacturing. In all countries, where the ESDM sector has developed well, modern infrastructure is provided beforehand. This is possible only if the government is involved in these projects—providing land, long-term finance and statutory approvals, licences and permissions from the state government.

This will reduce financial pressure on the private developer and provide ample time for development work to be completed. The industry will invest only once the electronics cluster parks are developed. Necessary modifications may be made in the scheme's notification and guidelines to make it a success.

Recommendations on preferential market access (PMA) scheme. Preference for domestically-manufactured electronic goods under NPE 2012 across central government purchases was announced on December 23, 2013. Following the announcement, guidelines for the procurement of ten product categories like desktop PCs, con-

tact smartcards and LED products were announced.

Currently, PMA scheme covers only central government purchases. It is suggested that the scope of PMA be extended to cover state government purchases as well as procurement of items for which PMA guidelines have been notified by the government of India's Ministry of Electronics and Information Technology (MeitY), and should be done as per the guidelines prescribed during the tendering process.

Production subsidy. Provision for a ten per cent production subsidy on value addition by the manufacturing unit was introduced under MSIPS on August 3, 2015. This includes high-value-added items such as semiconductor wafers, logic microprocessors, ICs and newly-added components such as PCBs, discrete semiconductors, power semiconductors as well as assembly, testing, marking and packaging facilities. Urgent implementation of this is recommended.

ELCINA has also recommended that this production subsidy be extended to include all components and raw materials that are covered under ITA-1. Electronics manufacturing services (EMS) companies are playing a vital role in the ESDM value chain and encouraging local manufacturing, value addition and demand for local components and raw materials/parts. It is recommended that output from EMS companies is included in this production subsidy. **EFY**